Sun Pharma – Organon Acquisition Review

Strategic and Valuation Analysis

$11.75B	**$14.00**	**6.2x**	**~58%**	**Conclusion**
Enterprise Value	**Offer Price / Share**	**EV / EBITDA Paid**	**Discount to DCF**	**PROCEED WITH ACQUISITION**
Adjusted net proceeds	All Cash Deal	vs. 14.8x precedent median	Implied intrinsic: $33.37	

Transaction Overview

India's largest-ever overseas acquisition — Sun acquires Organon at $14.00/share, representing an $11.75B EV, timed to exploit cyclically depressed multiples.

Key Transaction Terms

Dimension	Detail
Acquirer	Sun Pharmaceutical Industries Ltd. (NSE: SUNPHARMA)
Target	Organon & Co. (NYSE: OGN)
Announcement Date	April 9, 2026
Offer Price	$14.00 per share — All Cash
Equity Value	$3.99 Billion (fully diluted)
Enterprise Value	$11.75 Billion*
EV / EBITDA Paid	~6.2x (vs. 14.8x precedent median)
EV / Revenue Paid	~1.9x (vs. 4.5x precedent median)
Expected Close	Early 2027 — OGN shareholder + regulatory approvals

Sources & Uses of Funds ($ Millions)

Sources of Funds	Value	Uses of Funds	Value
Sun Cash on Hand	$2,250	Purchase OGN Equity	$3,150
Bridge Financing	$9,500	Refinance OGN Net Debt	$8,070
		Fees & Transaction Costs	$530
Total Sources	**$11,750**	**Total Uses**	**$11,750**

Leverage Impact: Combined Net Debt/EBITDA stands at ~2.3x at close. Free cash flow of $2.5B before financing enables deleveraging to net cash in 3-4 years.

Pharmaceutical Value Chain & Economics

The industry bifurcates between commoditized generics and high-margin, patent-protected innovation. Sun's acquisition targets the higher-value segments.

Active Ingredient (API)

Bulk raw chemical. Commoditized market, low barriers, global price pressure.

Generic Formulator

Off-patent copy formulations. Minimal R&D, low barriers, 10–25% margins.

Branded Generic

Branded off-patent. Distribution moat, doctor loyalty, strong cash flow in EMs.

Biosimilar

Bio-equivalent from cells. Moderate R&D, high manufacturing barriers, 25-35% margins.

Innovator / Women's Health

Patent-protected. High R&D risk (15-20% rev), high margins (up to 45%). Target area.

Economic Matrix across Value Chain Segments

Business Model	R&D Cost (% of Rev)	EBITDA Margin	Competitive Moat	Key Structural Risk
Generics	Minimal (<2%)	10–25%	Scale, manufacturing cost & distribution	Price erosion / global commoditization
Biosimilars	Moderate (5-8%)	25–35%	Manufacturing complexity, clinical data	Intensifying competitor launches
Innovator / Women's Health	High (15–20%)	Up to 45%	Patents, clinical trials, brand equity	Pipeline R&D failures (1 in 15k viable)

Strategic Shift: Sun's acquisition shifts the combined portfolio mix to the right — moving away from commoditizing generics towards higher-margin, complex, and patented Women's Health and Biosimilar segments.

Why Sun Needed to Evolve: The US Generics Trap

Four mutually reinforcing headwinds make US plain generics structurally less attractive over the long term. This is a structural, not cyclical, issue.

1. US Generic Price Erosion

More generic players entering identical molecules compresses prices. Low cost advantages are now shared commodities globally, leading to persistent double-digit price erosion.

2. Buyer Consolidation & Bargaining Power

Large US Pharmacy Benefit Managers (PBMs) and wholesaler groups hold massive buying power. Switching to an identical competing supplier takes days, limiting price retention.

3. Plant-Level FDA Compliance Risk

Manufacturing compliance issues delay abbreviated drug (ANDA) approvals, slowing portfolio updates. Indian manufacturing hubs face asymmetric regulatory downside risk.

4. Policy & Pricing Pressures

US healthcare policy focuses on lowering out-of-pocket costs. Inflation Reduction Act (IRA) drug price negotiations create strong secondary headwinds across all drug categories.

Evidence: Sun's US innovative specialty sales surpassed plain generic sales for the first time in FY25, led by Ilumya, Cequa, and Odomzo. The strategic pivot was already underway — Organon significantly accelerates it by adding Women's Health and Biosimilars.

Sun Pharma: Vertically Integrated Platform in Transition

India's #1 pharmaceutical company by revenue and a top-5 global generics player, with a proven M&A integration track record delivering 14.4% revenue CAGR.

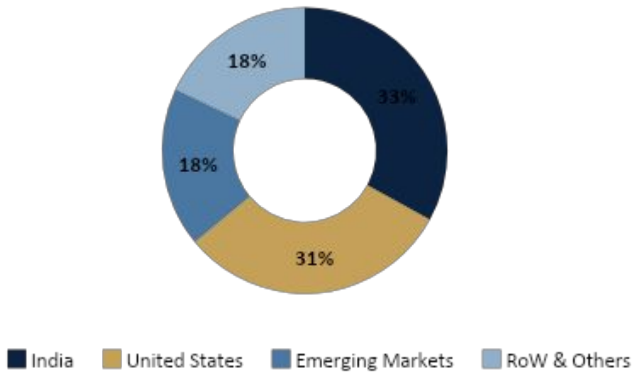
$6.2B
FY25 Revenue
#1 in India by revenue

$1.8B
EBITDA
~29% operating margin

$3.1B+
Cash on Hand
Pre-deal net cash position

20%
Innovative Rev. Share
Fastest growing segment

Sun Standalone Geographic Mix (FY25)



Value-Creative M&A Integration Track Record (FY10–FY25)

2010 Taro	2012 DUSA	2014 Ranbaxy	2021 Concert	2023 Checkpoint	2026 Organon
US generics scale & specialized dermatology base.	Acquired US specialty photodynamic franchise.	India's largest pharma merger ($4B), domestic lead.	Immunology pipeline (Alopecia) late-stage R&D.	Expanded oncology / dermatology assets.	Transformative specialty acquisition ($11.75B EV).

Organon & Co.: 100-Year Legacy, Depressed Valuation

Organon is a $6.2B revenue, 30%+ EBITDA margin business generating $1.1B free cash flow before financing, depressed only by a spinoff debt overhang.

Women's Health & Innovation (~33% of Revenue)

- 22 products. #2 contraceptive and #3 fertility global franchise.
- Nexplanon, NuvaRing, Follistim AQ. High barriers to entry (drug-device combos).

Established Brands (~55% of Revenue)

- 50+ products. 15 brands at $100M+ scale (Zetia, Atozet, Singulair, Nasonex).
- Stable cash cow generator with strong brand equity in emerging markets.

Biosimilars (~11% of Revenue)

- 8 products in market. #7 global biosimilar platform ($700M revenue).
- Growing at 13% CAGR. High commercialization infrastructure value.

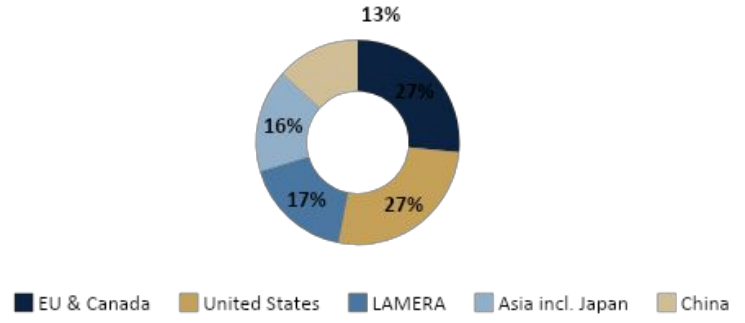
$6.2B
CY25 Revenue

30%+
EBITDA Margin

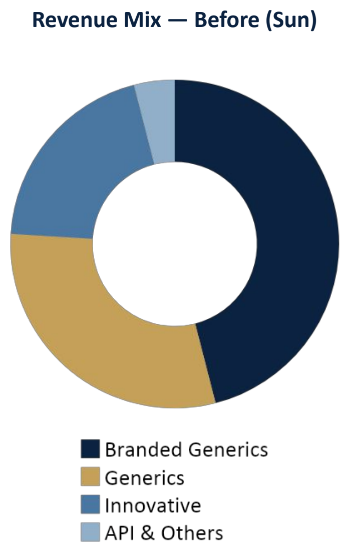
$1.1B
Free Cash Flow (pre-fin.)

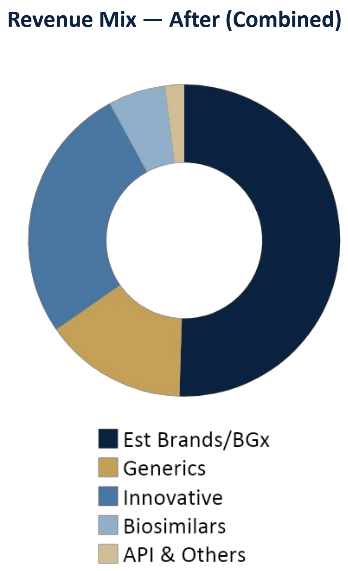
$8.6B
Assumed Net Debt

Organon Standalone Revenue Mix



Combined Entity: Revenue Mix & Geographic Shift





Geographic Shift (Sun Standalone → Combined)

Geography	Sun Standalone (Before)	Combined Entity (After)
India	33%	17%
United States	31%	27%
Emerging Markets	18%	29%
EU / China / Other	18%	27%

Combined Entity Scale

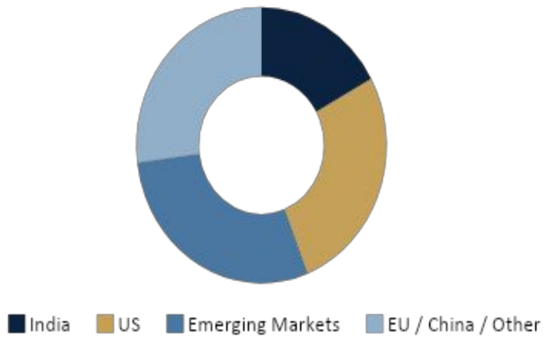
$12.4B
Revenue
Combined sales

$3.7B
EBITDA
Combined cash

24k+
Reps
Sales force

18
Markets
>$100M Rev

Pro Forma Geography Split



Strategic Rationale: Five Pillars of Value Creation

Each pillar independently creates value; collectively they represent a transformative repositioning of Sun's global profile.

1

Innovative Medicines Acceleration

Brings innovative revenue from 20% to 27%. Adds #3 global platform in Women's Health. Complex drug-device combinations (Nexplanon, NuvaRing) are highly defensible.

STRONG

2

Women's Health Leadership

Immediate entry into $35B+ market growing at 6–10% CAGR. 100+ pipeline assets under development. Less complex market access than oncology.

STRONG

3

Biosimilars Scale

Leapfrogs to #7 globally ($700M rev, 13% CAGR). Critical commercial engine to in-license and launch products from upcoming $70B+ LOE pipeline.

MODERATE

4

Geographic Diversification

Expands presence from 100+ to 140+ countries. Scales Europe and adds $800M+ China platform. Complementary footprints minimize cannibalization.

STRONG

5

Commercial Infrastructure & Scale

Adds a 24,000+ representative sales force. Top-25 global pharma scale. Cost optimization through Sun's lean operations DNA.

MODERATE

Women's Health: The Crown Jewel Asset

Organon's Women's Health portfolio combines a large growing market with complex, hard-to-replicate products — the strongest pillar of the acquisition.

$35B+
Total Market Size
US, EU5, Japan, China, LatAm

6–10%
Annual Market CAGR
Driven by unmet needs & innovation

100+
Assets in Development
Across global biotech pipelines

Less Complex
Market Access
Compared to oncology/immunology

Thesis Highlight:
Women's Health represents an attractive niche. Payer pushback is significantly lower than in oncology, and the portfolio is anchored by long-acting reversible contraceptives (LARCs) which are highly sticky and device-protected.

Organon's Key Women's Health Assets

Product	Indication / Mechanism	Barrier / Moat
Nexplanon	Subdermal contraceptive implant	Complex device; hard to replicate
NuvaRing	Vaginal ring (contraceptive)	Unique delivery mechanism
Follistim AQ	Fertility — FSH injection	#3 fertility drug globally
Emgality / Vtama	Migraine / Dermatology	Licensed specialty innovations

Global Market Position

Category	Position	Implication
Hormonal Contraceptives	#2 Globally	Nexplanon leads US market
Fertility	#3 Globally	Strong clinical brand equity
Combined (post-acquisition)	**#3 Globally in WH**	**Immediate global scale**

Biosimilars: Immediate Scale in High-Growth Segment

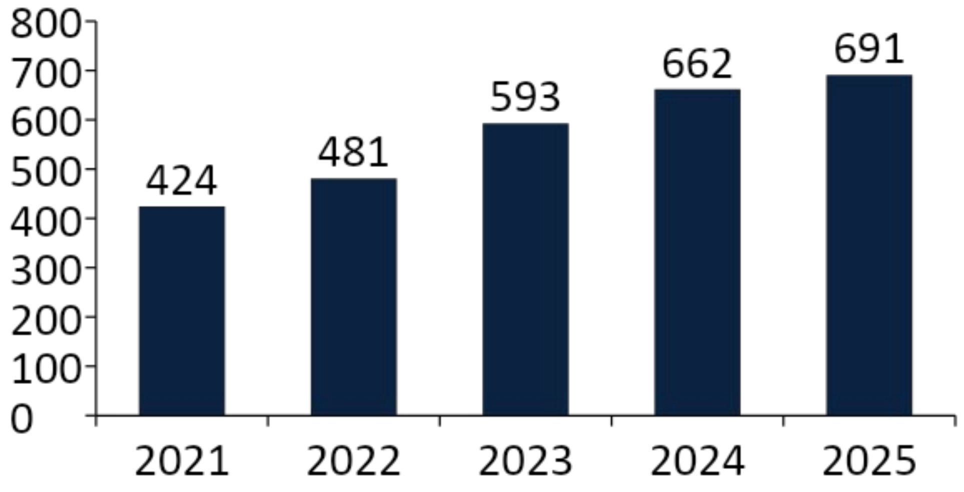
Organon's biosimilars platform provides #7 global scale, $700M revenue growing at 13%+ p.a., and a commercialization engine for future launches.

$20B+	$320B+	$70B+	#7
Market Size	**Patented LOE Peak**	**Biosimilar Potential**	**Global Ranking**
Growing at 15%+ annually	Sales losing exclusivity by 2035	Upcoming market opportunity	$700M rev, 13% 5Y CAGR

8 Biosimilars in Market (Partnerships)

- Renflexis (infliximab)
- Bildyos (denonusumab)
- Hadlima (adalimumab)
- Bilprevda (denosumab)
- Ontruzant (trastuzumab)
- Tofidence (tocilizumab)
- Brenzys (etanercept)
- Aybintio (bevacizumab)

Organon Biosimilar Revenue Growth ($ Millions) 13%+ CAGR

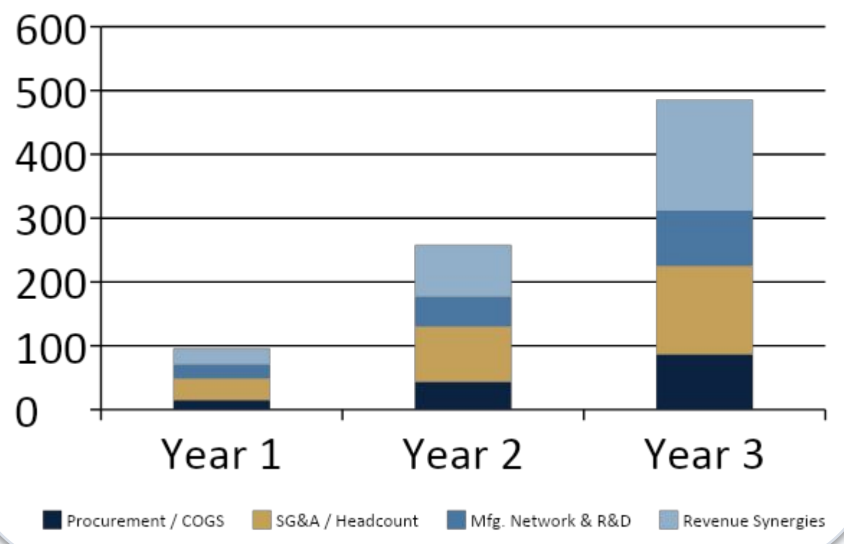


Synergy Analysis: Management Baseline vs. My Model

Management's baseline is $350M+ in synergies. My model projects $486M in Year 3 run-rate synergies, with cost synergies highly credible and front-loaded.

Category	Y1	Y2	Y3	Assessment / Realism
Procurement / COGS	$15M	$44M	$87M	3% savings on $2.9B COGS via supply chain
SG&A / Headcount	$34M	$86M	$138M	8% of OGN SG&A; regional duplicate cuts
Mfg. Network + R&D	$22M	$47M	$87M	Tech transfer to high-utilization plants
Revenue (EM & US)	$25M	$81M	$174M	Registration timelines in EM add 12-24m
Total Synergies	**$96M**	**$258M**	**$486M**	**My model projects upside compared to management's baseline ($350M+)**
Integration Costs	($250M)	($150M)	$0	~0.72x of Y3 run-rate integration spend

Synergy Realization Ramp ($ Millions)

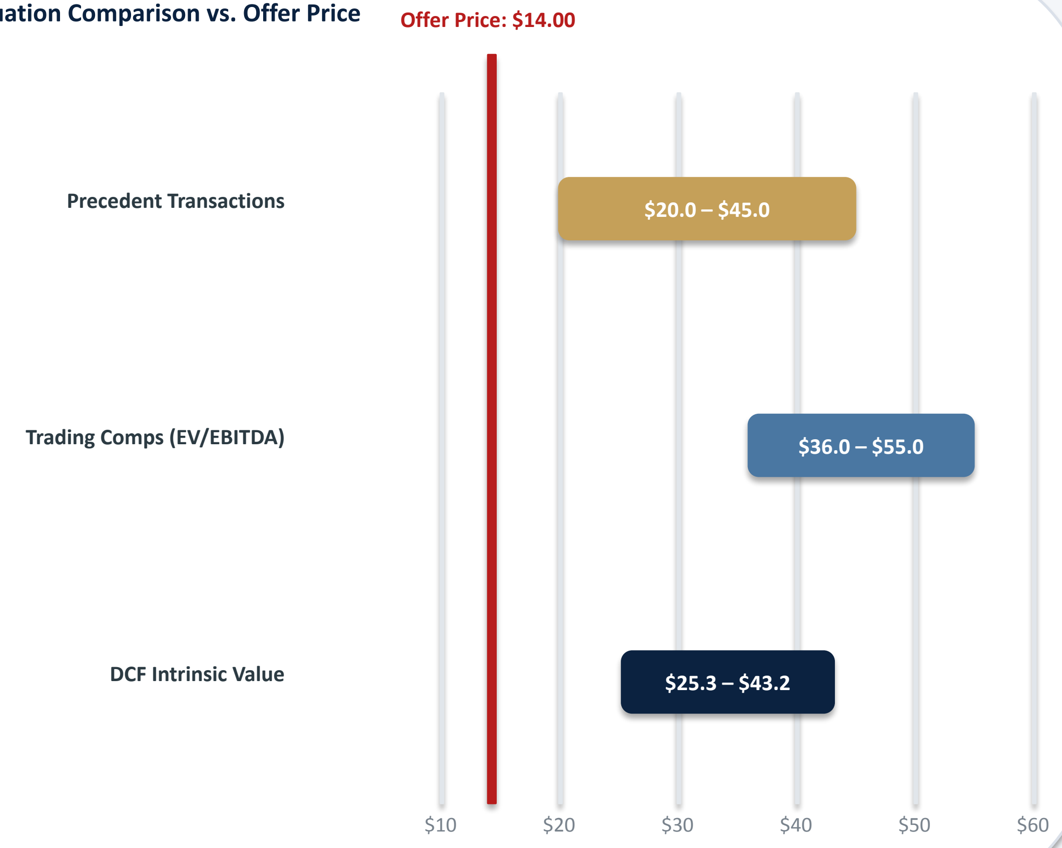


Takeaway: Cost synergies (70% of total) are front-loaded. Total integration costs of ~$400M are well within typical ranges (0.72x of Y3).

Valuation Analysis: Offer vs. Intrinsic Value

All three valuation methodologies indicate Sun acquired Organon at a material discount: paid ~6.2x EV/EBITDA vs. 14.8x precedent median.

Valuation Comparison vs. Offer Price



DCF Sensitivity — Implied Share Price ($)

TGR \ WACC	7.5%	8.0%	8.4%	9.0%
1.00%	$38.27	$33.33	$29.89	$25.32
1.25%	$40.53	$35.24	$31.57	$26.73
1.50%	$43.15	$37.42	$33.37	$28.31

Verdict: Even in the conservative 9% WACC / 1.0% TGR case, implied price ($25.32) exceeds offer by 81%.

Multiple Benchmarking

Metric	Paid by Sun	Precedent Median	Verdict
EV / EBITDA	6.2x	14.8x	Bottom Quartile
EV / Revenue	1.9x	4.5x	Bottom Quartile

Accretion / Dilution & Deleveraging Timeline

EPS is dilutive in Year 1 due to bridge financing and one-time integration costs. Highly accretive (+14.0%) by Year 2.

2026: Deal Closes

Transaction closed. funded with $2.25B cash + $9.5B bridge (blended ~8.75%). PF leverage ~2.3x.

2027: Refinancing

Permanent refinancing at ~6.0% coupon delivers 275bps cost savings. Synergy ramp starts (Y1).

2028: Deleveraging

Year 2 pro forma operations. Synergies ramp to $258M. Combined leverage drops to ~1.7x.

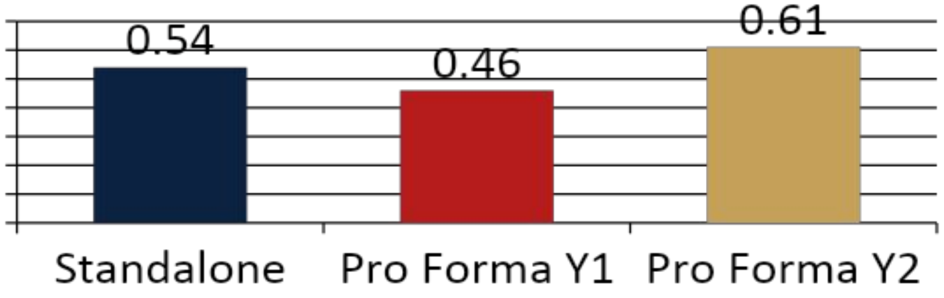
2029–30: Net Cash

Target: return to net cash. Supported by $2.5B combined annual free cash flow before financing.

Pro Forma EPS & Leverage Impact

Metric	Sun Standalone	Pro Forma Y1 (2027)	Pro Forma Y2 (2028)
Net Income to Parent ($M)	$1,295	$1,102	$1,476
Earnings Per Share (EPS)	$0.54	$0.46	$0.61
Accretion / (Dilution)	Base	(14.9%)	+14.0%
Net Debt / EBITDA	Net Cash	~2.3x	~1.7x
Interest Expense ($M)	~$50	$880 (Bridge)	$619 (Perm)

EPS Accretion / Dilution ($)

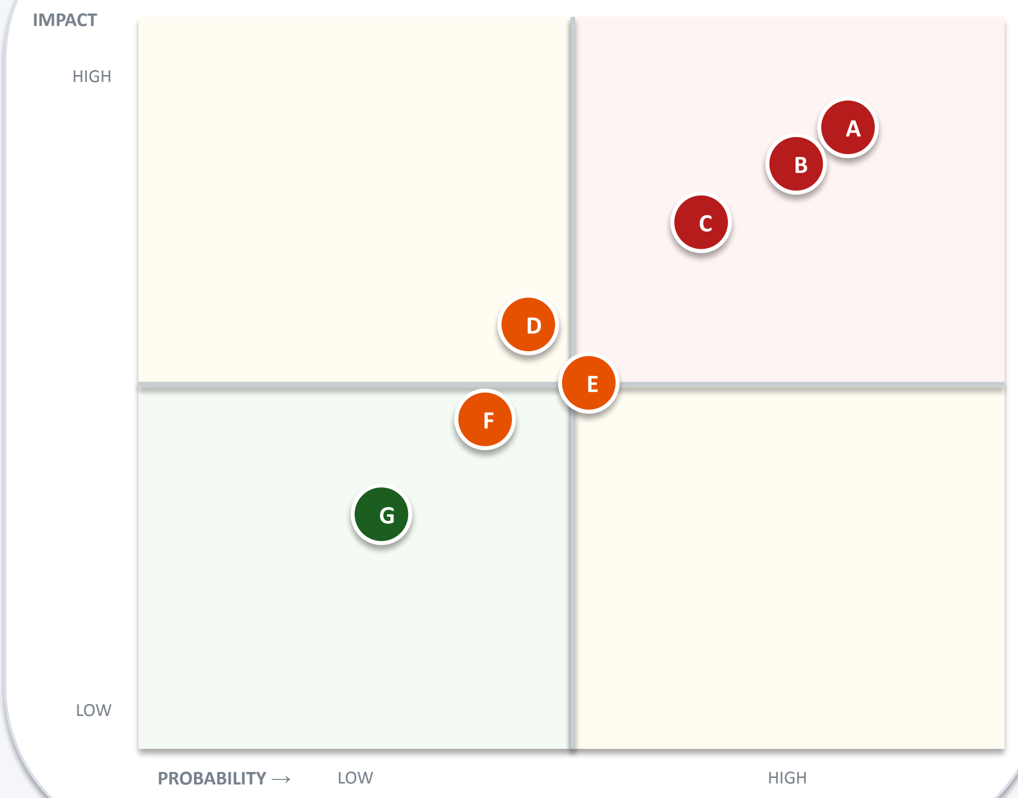


Key Financial Drivers:
- **Transaction closed in 2026. Y1 dilution (~15%) driven by bridge interest (~8.75%) & integration costs.**
- **Y2 accretion (+14.0%) reflects permanent refinancing at ~6.0% (saving $261M interest) and synergy ramp.**

Key Risks: Ranked by Severity

Leverage and integration complexity are the highest-probability, highest-impact risks. The deal succeeds or fails on execution.

Risk Severity Mapping (Probability vs. Impact)



Risk Register & Mitigations

ID	Risk Description	Severity	Mitigation Strategy
A	Integration Complexity (140+ countries)	HIGH	Establish IMO immediately; leverage Taro/Ranbaxy history
B	Leverage Risk (2.3x Net Debt/EBITDA)	HIGH	$2.5B combined FCF deployed for rapid deleveraging by 2029
C	Synergy Realization Delay	MED-HIGH	Cost synergies (70%) are highly credible; revenue synergies lag
D	Women's Health Product Concentration	MEDIUM	Nexplanon complex device barriers; 22 products in WH
E	Biosimilar Margin Erosion	MEDIUM	LOE pipeline ($70B+) accommodates multiple platform players
F	Growth Dilution (combined vs standalone)	MEDIUM	Offsetting growth from WH (6-10%) and Biosimilars (15%+)
G	Regulatory/Geopolitical Risk (China)	LOW-MED	China represents 13% of OGN; diversification mitigates risk

Final Recommendation

1. Strategically Attractive?

YES

Organon solves Sun's structural US generics headwinds (price erosion, PBM consolidation) in one stroke. It delivers instant global scale: Women's Health leadership (#3), Biosimilars platform (#7), and geographic diversification (140+ countries, including an established China presence). Sun could not have built this organically in under a decade.

2. Financially Attractive?

YES

EBITDA nearly doubles to $3.7B and FCF doubles to $2.5B, funding aggressive deleveraging. Accretive (+14.0%) by Year 2 once permanent financing (~6.0%) replaces the bridge. Synergies ($486M run-rate modeled) are conservative and represent substantial upside to management's $350M+ targets.

3. Reasonably Valued?

YES

The 6.2x EV/EBITDA multiple is in the bottom quartile of comparables (precedent median is 14.8x). Implying a 58% discount to the DCF intrinsic value ($33.37/share). The equity price drop from $40 to $6 reflected the legacy spinoff debt overhang, not operating failure, providing a rare window for acquisition.

RECOMMENDATION: PROCEED WITH ACQUISITION

The acquisition is strategically necessary, financially sound, and priced at a bottom-quartile entry point. The primary risk — integration across 140+ countries and two corporate cultures ('Sunology' vs. 'The Organon Way') — is significant but within Sun's demonstrated core capability. We advise proceeding immediately.

Appendix A: Trading Comparables

At 6.2x EV/EBITDA paid, Sun acquired Organon below the trading multiples of majority of comparable peers in the industry.

Company	Country	Enterprise Value ($B)	EV / EBITDA Multiple	EV / Revenue Multiple	Strategic Profile
Organon (Deal Multiple)	USA	$11.75B	6.2x ◀	1.9x ◀	Acquisition multiple paid by Sun Pharma
Teva Pharmaceuticals	USA	$50.4B	16.1x	2.9x	Leading global generics and specialty platform
Cipla	India	$11.7B	18.4x	4.2x	Indian branded generics peer; high domestic share
Dr. Reddy's Laboratories	India	$11.0B	13.9x	3.3x	US and emerging markets generics focused peer
Hikma Pharmaceuticals	UK	$4.4B	5.2x	1.3x	Hospital injectables and MENA branded generics
Alvotech	Iceland	$2.6B	8.2x	4.4x	Pure-play global biosimilar development peer
Biocon Biologics	India	$8.4B	24.6x	5.0x	Pure-play Indian biosimilar scale competitor
Median Comps	—	—	13.9x	2.9x	Benchmark comps valuation baseline

Appendix B: Precedent Transactions

Sun's 6.2x acquisition multiple sits in the bottom quartile (25th percentile is 10.9x) of comparable pharmaceutical deals.

Acquirer	Target / Asset	Year	Deal Size / EV ($B)	EV / EBITDA Paid	Transaction Category
Teva	Allergan Generics (Actavis)	2015	$40.5B	15.0x	Generic Carve-Out Consolidation
AbbVie	Allergan (including Women's Health)	2019	$84.2B	10.9x	Specialty / WH Consolidation
Bayer	Schering AG	2006	$21.5B	14.8x	Specialty mega-merger
Perrigo	HRA Pharma (OTC Women's Health)	2021	$2.1B	18.3x	OTC / Consumer Self-Care
Sun Pharma	Ranbaxy Laboratories	2014	$4.0B	14.8x	Generic Platform Integration
Fresenius Kabi	mAbxience (Biosimilar platform)	2022	$0.4B	21.5x	Biosimilar Platform Entry
25th Percentile Deal	—	—	—	10.9x	Comps Lower Quartile
Median Deals	—	—	—	14.8x	Comps Median Baseline
Sun Pharma (This Deal)	Organon & Co. (Target)	2026	$11.75B	6.2x ◀	Bottom-Quartile Entry Point

Appendix C: Organon Financials & DCF Assumptions

Organon Historical Financials ($M)

Metric	FY2023A	FY2024A	FY2025A
Revenue	$6,263	$6,403	$6,216
Adjusted EBITDA	$1,563	$1,763	$1,465
Adjusted EBITDA Margin	25.0%	27.5%	23.6%
Net Debt	—	$8,205	$8,070
Net Debt / EBITDA	—	4.7x	5.5x
Free Cash Flow (pre-fin.)	~$548	~$764	~$1,100

DCF Model Key Assumptions

Assumption Parameter	Value Model Value
WACC (Discount Rate)	8.40%
Terminal Growth Rate (TGR)	1.50%
Revenue Growth (Y1-2)	-2.0% to -1.5% (Erosion)
Revenue Growth (Y3-4)	+1.0% to +2.0% (Stabilization)
EBIT Margin Range	23.1% – 23.7%
PV of Free Cash Flows	$4,186 Million
PV of Terminal Value	$12,571 Million
Enterprise Value (DCF)	$16,757 Million
Less: Assumed Net Debt	($8,070 Million)
Equity Value (DCF)	$8,687 Million
Implied Share Price (DCF)	$33.37
Offer Price per Share	$14.00 (58% discount)